

SUPPOSE YOU'RE BUSY at work, and you receive a call from home saying that someone needs a painkiller for tummy ache. But you can't get home on time to get it. And obviously the pain cannot wait, so what do you do?

For the past few years, a go-to option for people has been to order medicines through the various e-pharmacies that have proliferated in India.

Their utility reached a peak during the Covid-19 pandemic-induced lockdowns, when the need for medicines had skyrocketed. Even the government declared their operation as an "essential service".

But not all is calm in paradise, with the e-pharmacy sector dealing with its fair share of challenges due to the blow hot and cold regulatory regime, after enjoying a breather from the government during the lockdowns.

But now, the fledgeling e-pharmacy players, whose revenues have jumped in the past few years, are finding it difficult to achieve profitability. Sample this: the consolidated revenues of API Holdings—that operates PharmEasy—increased from ₹2,335.27 crore in FY21 to ₹6,383.60 crore in FY22. But its consolidated losses—that stood at ₹641.30 crore in FY21—jumped to a whopping ₹4,043.10 crore in FY22. The company also withdrew its pre-IPO draft papers in August 2022, nearly a year after filing it. Separately, the financials of Tata 1mg, one of the earliest entrants in the e-pharmacy space, look dire. While the company's consolidated

gross sales more than doubled to ₹627.09 crore in FY22, from ₹309.37 crore in FY21, its consolidated losses widened to ₹526.14 in FY22, from ₹314.22 crore in FY21.

And therein lies the problem. As the profitability of the segment players is some distance away, they run the risk of losing investor interest. Further, the path to profitability is exacerbated by many other challenges.

LOOKING FOR CERTAINTY

"Due to the convenience they provide, online pharmacies witnessed a rise in popularity during the pandemic. They were able to draw customers in during the pandemic and assist many people in accessing medications remotely," says Neha Singh, Chairperson and MD of Tracxn, a private market data intelligence firm.

The rapid rise of e-pharmacy players in India is not only helping consumers, the segment has also attracted outsized interest from corporates, private equity (PE) and venture capital (VC) players due to its high growth potential and returns. The e-pharmacy market in India, pegged at around \$2.7 billion in 2021, is expected to grow at an annualised rate of 63 per cent between 2020 and 2025, per Research and Markets.

Not only that, PE/VC funds have invested over \$2.6 billion in online pharmacies so far, per Tracxn. For example, Temasek Holdings, Eight Roads Ventures, Fidelity Investments have invested in PharmEasy; TPG Growth has invested in Netmeds; and Sequoia Capital has invested in Practo that also operates an e-pharmacy. Even diversified conglomerates like Reliance Industries and the Tata group have stepped into the segment

TWISTS AND TURNS

In India, the sale of medicines is regulated by the Central Drugs Standard Control Organisation (CDSCO), operating under the aegis of the health ministry

AUGUST 2018

The government releases a draft of 'Drugs and Cosmetics Amendment Rules, 2018' requiring e-pharmacies to obtain a licence, and comply with certain guidelines



SEPTEMBER 2018

The government bans the online sales of medicines until a regulatory framework is put in place. Challenged by e-pharmacies, it is revoked in December 2018